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COMMODITIES DAILY

The Commodities Feed: The battle over Hormuz lifts oil prices

Further escalation in the Persian Gulf has oil prices moving higher amid renewed concerns over flows through the Strait of Hormuz



Energy – Speculators remain wary about jumping into oil market

Oil prices are getting an additional boost this morning, with ICE Brent up around 4% at the time of writing amid increasing tensions in the Persian Gulf. It was another weekend of the US and Iran exchanging strikes. Clearly, the risk is that this escalates to levels seen early in the war, where neighbouring countries and their energy infrastructure are also targeted. Iran claims that the Strait of Hormuz is shut until further notice. The US pushed back, saying that it will ensure freedom of navigation. Escalation has slowed vessels transiting the strait to a trickle, renewing concerns over oil supply tightness through the third quarter.

Despite the renewed hostilities between the US and Iran, the latest positioning data shows that speculators are still reluctant to jump into the oil market. Speculators reduced their net long in ICE Brent by 547 lots over the last reporting week to 55,087 lots as of last Tuesday. The uncertainty over the recent flare-up in tensions -- whether it will be short-lived or more sustained -- seems to be keeping a large share of market participants on the sidelines.

However, speculators have been more bullish on the middle distillate market amid continued Ukrainian strikes on Russian refinery infrastructure. This has led to a fall in diesel exports and

to the Russian government temporarily banning them. The export ban will only add to concerns about an already tight middle distillate market, given developments in the Middle East this year. Speculators increased their net long in ICE gasoil by 11,634 lots to 69,486 lots as of last Tuesday, the largest position since late March.

On Friday, the IEA's latest monthly oil market report showed the agency expects oil demand to gradually recover over the course of the year. The IEA forecasts demand in 2Q26 was down 4.8m b/d year-on-year. It's expected to ease to a 1.7m b/d YoY reduction in 3Q26, before returning to 1.2m b/d YoY growth in the final quarter of the year. Much will depend on how rising tensions between the US and Iran play out. The agency estimates that global oil supply increased by 4.1m b/d in June. As a result, global oil inventories are estimated to have risen by 21m barrels in June, which would be the first increase in four months.

The European gas market continues to look increasingly vulnerable to supply disruptions from the Persian Gulf. Reports last week that QatarEnergy will cease plans to increase LNG output following an attack on one of its LNG tankers will only add to supply concerns. EU gas storage is currently less than 52% full, compared with a 5-year average of 67%. Continued supply tightness has coincided with heatwaves across Europe, increasing gas demand for power generation.

Agriculture – USDA lowers global grain ending stock estimates

In its latest WASDE monthly report, the USDA slightly revised up its US corn production estimate by 5m bushels to 16bn bushels. However, this increase in supply was offset by lower beginning stocks and higher export estimates. As a result, US corn ending stock estimates were revised down by 170m bushels to 1,790m bushels. This is lower than the market was expecting. Globally, the corn balance sheet tightened slightly, with 2026/27 ending stocks estimates reduced from 281.2mt to 275.3mt. This was largely driven by EU corn production estimates for the season being lowered to 53.78mt, down from 57.5mt previously.

The USDA maintained its 2026/27 domestic soybean ending stocks estimate at 310m bushels, with higher production fully offset by stronger export demand. At the global level, 2026/27 soybean ending stock estimates were trimmed marginally from 124.9mt to 124.2mt.

For wheat, the USDA reduced its 2026/27 US output estimates by 7m bushels to 1,536m bushels, reflecting lower acreage and marking the smallest crop since 1970/71. Despite the reduction, the output number is still above the roughly 1,527m bushels the market was expecting. US ending stocks were lowered by 22m bushels to 722m bushels. Globally, 2026/27 wheat ending stocks were revised down from 275.4mt to 272.8mt, slightly below the 273.2mt the market was expecting.

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